

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



For the period ended 31st March 2021

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				For the Year Ended		
	31.03.2021 LKR	31.03.2020 LKR	Change	31.03.2021 LKR	31.03.2020 LKR	Change
	Unaudited*	Unaudited*	%	Unaudited*	Audited*	%
Interest Income	656,798,407	796,976,285	-17.6%	2,626,394,468	3,043,709,078	-14%
Interest Expenses	(324,265,344)	(452,417,636)	-28.3%	(1,462,362,855)	(1,704,234,090)	-14%
Net Interest Income	332,533,063	344,558,649	-3.5%	1,164,031,612	1,339,474,988	-13%
Net Trading Gain/(Loss) on Equity Securities				-	(125)	0%
Other Operating Income	131,006,389	20,441,802	540.9%	328,420,134	288,910,201	14%
Less: Operating Expenses						
Personnel Costs	(80,242,452)	(78,766,170)	1.9%	(268,929,048)	(310,582,828)	-13%
Provision for Staff Retirement Benefits	(863,721)	(938,799)	-8.0%	(7,163,721)	(7,041,239)	2%
General and Administration Expenses	(218,148,405)	(170,001,332)	28.3%	(701,570,915)	(782,395,544)	-10%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(110,327,251)	(109,707,203)	0.6%	(382,940,886)	(381,645,114)	0%
Operating Profit before Value Added Tax on Financial Services	53,957,623	5,586,947	865.8%	131,847,176	146,720,339	-10%
Value Added Tax on Financial Services	(12,300,000)	(17,449,590)	-29.5%	(45,100,000)	(53,404,048)	-16%
Profit Before Taxation	41,657,623	(11,862,643)	451.2%	86,747,176	93,316,291	-7%
Income Tax (Expenses) / Reversal	(14,051,058)	(8,530,516)	64.7%	(41,551,058)	(23,162,926)	79%
Profit for the Period	27,606,565	(20,393,159)	-235%	45,196,118	70,153,365	-36%
Actuarial Loss on Retirement Benefit Liability	4,379,407	(2,075,633)		4,379,407	(2,075,633)	-
Income Tax on Components of Other Comprehensive Income	1,051,058	(498,152)		1,051,058	(498,152)	-
Other Comprehensive Income for the Period Net of Tax	5,430,465	(2,573,785)	0%	5,430,465	(2,573,785)	-
Total Comprehensive Income for the Period	33,037,030	(22,966,944)	-244%	50,626,583	67,579,581	-25%
Earnings Per Share - Basic	0.22	(0.16)	-235%	0.36	0.57	-36%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	31.03.2021 LKR Unaudited*	31.03.2020 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	1,006,233,476	511,939,133	96.6%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	654,692,844	860,630,696	-23.9%
Financial assets at amortized cost - Loans and advances	10,198,262,863	8,913,047,649	14.4%
Financial assets at amortized cost - Lease rentals receivable and hire purchase	2,212,534,894	3,726,488,702	-40.6%
Other Assets	21,637,319	16,983,813	27.4%
Income Tax Receivable	27,698,763	27,736,580	-0.1%
Advances, Deposits and Prepayments	252,083,662	156,189,223	61.4%
Financial assets - Fair value through other comprehensive income	506,659	506,659	0.0%
Right-of-use assets	217,810,352	137,210,457	58.7%
Property, Plant and Equipment	156,436,174	138,032,482	13.3%
Investment Property	376,158,647	399,678,109	-5.9%
Deferred Tax Assets	185,422,647	225,922,647	-17.9%
Intangible Assets	40,951,790	40,220,339	1.8%
Total Assets	15,350,430,089	15,154,586,490	1.3%
LIABILITIES			
Financial liabilities - Due to banks	24,279,289	58,777,776	-58.7%
Other Liabilities	38,147,909	96,622,133	-60.5%
Financial liabilities - Other borrowed funds	4,778,758,726	6,086,325,326	-21.5%
Lease liability	213,877,898	126,200,873	69.5%
Due to Customers	7,013,686,384	6,585,234,705	6.5%
Debenture	1,029,465,109	-	100.0%
Retirement Benefit Liability	30,135,378	29,972,864	0.5%
Total Liabilities	13,128,350,693	12,983,133,677	1.1%
SHAREHOLDERS' FUNDS			
Stated Capital	1,791,478,691	1,791,478,691	0.0%
Retained Earnings	351,303,022	303,207,769	15.9%
Statutory Reserve Fund and Other Reserves	79,297,682	76,766,353	3.3%
Total Equity	2,222,079,396	2,171,452,813	2.3%
Total Equity and Liabilities	15,350,430,089	15,154,586,490	1.3%
Net Assets Per Share	17.89	17.50	2.3%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 31st March 2021 and its profit for the Period ended 31st March 2021.

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Geethika Elwalage

Deputy General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

R.J.A. Gunawardena
Director/CEO

Thusitha Perera
Director/Chairman of the Audit Committee

20 th May 2021
Colombo

	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2019 (Audited)	<u>1,640,493,541</u>	<u>3,000,000</u>	<u>70,387,374</u>	<u>239,007,167</u>	<u>1,952,888,082</u>
Profit for the year	-	-	-	70,153,366	70,153,366
Other comprehensive income (net of tax)				(2,573,785)	(2,573,785)
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	150,985,150				150,985,150
Transferred to/from reserves During the Period	-	-	3,378,979	(3,378,979)	-
	<u>150,985,150</u>	<u>-</u>	<u>3,378,979</u>	<u>64,200,602</u>	<u>218,564,731</u>
Balance as at 31st March, 2020 (Audited)	<u>1,791,478,691</u>	<u>3,000,000</u>	<u>73,766,353</u>	<u>303,207,769</u>	<u>2,171,452,813</u>
Profit for the Year	-	-	-	45,196,118	45,196,118
Other comprehensive income (net of tax)		-		5,430,465	5,430,465
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	-				-
Transferred to/from reserves During the Period			2,531,329	(2,531,329)	-
	<u>-</u>	<u>-</u>	<u>2,531,329.13</u>	<u>48,095,253</u>	<u>50,626,583</u>
Balance as at 31st March, 2021 (Unaudited*)	<u>1,791,478,691</u>	<u>3,000,000</u>	<u>76,297,682</u>	<u>351,303,022</u>	<u>2,222,079,396</u>

* Figures in brackets indicate deductions.

	Period Ended 31.03.2021 Rs. Unaudited*	Period Ended 31.03.2020 Rs. Audited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	86,747,176	93,316,291
Adjustments for		
Depreciation and amortization	51,276,593	51,791,363
Amortization of right - of - right - of - use asset	41,018,741	29,177,605.00
Interest expenses on Lease Liability	20,009,922	17,234,710.00
Impairment of lease hire purchase, loans and advances	382,940,886	381,645,114
Early termination of loans, leases and hire purchase	(29,908,552)	(51,580,552)
Non-cash items included in profit before tax (WHT and Notional tax)	37,817	(1,264,129)
Net Interest Margin Adjustment	-	31,765,157
Interest income on commercial papers	-	(6,170,583)
Profit on sale of vehicle stock	-	1,133,738
Interest income on short term investmnet	(18,852,915)	(3,493,043)
Profit on sale of held for trading securities	-	125
Gain/loss on fair valuation of held for trading securities	-	-
Gains from sale of property, plant and equipment, investment property and real estate inventories	(8,958,592)	(182,714)
Provision for retirement benefit liability	7,163,721	7,041,239
Interest expense on Debenture	47,070,376	-
Interest expense on other borrowings	695,547,058	897,277,265
Profit from Operation Before Working Capital Changes	1,274,092,230	1,447,691,587
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	1,592,530,924	279,318,715
Increase in Loans and Advances	(1,716,824,690)	(1,724,658,389)
(Increase)/Decrease in Other Receivables	(126,272,144)	(472,010)
(Increase)/Decrease in Deposits and Prepayments	(95,894,459)	(31,671,976)
Increase in Deposits from Customers	428,451,679	(32,110,250)
Increase/(decrease) Other non-financial liabilities	63,144,459	(120,541,238)
Net Cash From/(Used in) Operating Activities before Income Tax Payments	1,419,228,001	(182,443,561)
Taxes Paid	-	(22,740,148.00)
Gratuity Paid	(2,621,800)	(1,232,500.00)
Lease Rent advance Paid	(14,542,782)	(42,557,697.00)
Rent Paid	(39,408,751)	-
Net Cash From Operating Activities	1,362,654,668	(248,973,906)
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment & Intangible Assets	(65,141,353)	(27,787,206)
Acquisition of intangible assets	(6,956,240)	(17,178,378)
Acquisition and proceeds from sale of Investment Property	(315,000)	(5,859,596)
Proceeds from sale of investment property	30,900,000	-
Proceeds from sale of vehicle stock	-	17,779,831
Proceeds from commercial papers	-	286,170,583
Investments in commercial papers	-	(280,000,000)
Investments in Short term Investments	(980,000,000)	(250,000,000)
Proceeds from Short Term Investments	998,852,915	253,493,043
Proceeds from sales of property, plant and equipment	3,578,913	602,054
Net Cash Flows From/(Used in) Investing Activities	(19,080,765)	(22,779,669)
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(4,686,113,658)	(4,421,488,570)
Proceeds from Other Borrowed Funds	2,683,000,000	4,651,801,017
Proceed from debenture issue	982,394,733	-
Proceeds from Rigt issue	-	150,985,150
Net Cash Flows From/(Used in) Financing Activities	(1,020,718,925)	381,297,597
Net Increase in Cash and Cash Equivalents	322,854,978	109,544,022
Cash and Cash Equivalents at the Beginning of the Period	1,313,792,053	1,204,248,031
Cash and Cash Equivalents at the End of the Period	1,636,647,031	1,313,792,053
At the End of the Period		
Cash and Cash Equivalents	1,006,233,476	511,939,133
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	654,692,844	860,630,696
Bank Overdraft	(24,279,289)	(58,777,776)
	1,636,647,031	1,313,792,053

* Figures in brackets indicate deductions.

	Unaudited	Audited	Unaudited	Audited	Unaudited	Audited	Unaudited	Audited	Unaudited	Audited	Unaudited	Audited	Unaudited	Audited
	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	31.03.2021	31.03.2020	31.03.2021	31.03.2020	31.03.2021	31.03.2020	31.03.2021	31.03.2020	31.03.2021	31.03.2020	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	730,671,271	1,180,119,244	-	25,375	940,077,444	1,092,476,205	89,638,312	116,035,130	866,007,440	655,053,124	-	-	2,626,394,468	3,043,709,078
Other Income	41,491,853	48,800,702	-	93,937	7,228,985	50,176,795	320,000	280,000	260,168,882	182,956,799	19,210,414	6,601,968	328,420,134	288,910,201
Total Revenue	772,163,125	1,228,919,946	-	119,312	947,306,430	1,142,653,000	89,958,312	116,315,130	1,126,176,322	838,009,923	19,210,414	6,601,968	2,954,814,602	3,332,619,279
Segmental Result	34,454,794	54,103,855	-	5,253	42,269,886	50,305,907	4,014,042	5,120,836	50,251,264	36,893,833	857,190	290,655	131,847,176	146,720,339
Value Added Tax on Financial Services													(45,100,000)	(53,404,047)
Profits from Operations													86,747,176	93,316,291
Income Tax Charge/Reversal for the Period													(41,551,058)	(23,162,926)
Net profit for the Period													45,196,118	70,153,365
Segment Assets	2,204,274,974	3,711,805,061	8,259,920	14,683,641	3,636,671,331	4,709,554,957	654,692,844	860,630,696	6,561,591,532	4,203,492,692	-	-	13,065,490,601	13,500,167,048
Unallocated Assets	-	-	-	-	-	-	-	-	-	-	2,284,939,488	1,654,419,442	2,284,939,488	1,654,419,442
Total Assets	2,204,274,974	3,711,805,061	8,259,920	14,683,641	3,636,671,331	4,709,554,957	654,692,844	860,630,696	6,561,591,532	4,203,492,692	2,284,939,488	1,654,419,442	15,350,430,089	15,154,586,490
Segment Liabilities	2,167,276,753	3,500,144,267	8,121,279	13,846,326	3,575,630,684	4,440,998,790	643,703,983	811,554,364	6,451,456,808	3,963,794,059	-	-	12,846,189,508	12,730,337,807
Unallocated Liabilities			-	-	-	-	-	-	-	-	282,161,186	252,795,870	282,161,186	252,795,870
Total Liabilities	2,167,276,753	3,500,144,267	8,121,279	13,846,326	3,575,630,684	4,440,998,790	643,703,983	811,554,364	6,451,456,808	3,963,794,059	282,161,186	252,795,870	13,128,350,693	12,983,133,677

In determining segment results,

Expenses have been allocated proportionately based on interest income

Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2021.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 31st March , 2021 (including comparatives) were approved and authorized for issue on 20th May, 2021 in accordance with a resolution of the board of directors on 13th May, 2021.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments in the Financial statements and below disclosure has arise on Preference shares.

Asia Asset Finance PLC has obtained approval from the Central Bank of Sri Lanka to issue 41,398,511 preference shares [non-cumulative, irredeemable and convertible] at a price of LKR 10/- per share. The Issue is subject to the Colombo Stock Exchange and the Securities and Exchange Commission of Sri Lanka, approving (as appropriate) in principle, the issue and listing of the Preference Shares and the issue and listing of the Ordinary shares post conversion of the Preference Shares, as aforesaid, by way of a Private Placement, and obtaining Shareholder approval by way of a Special Resolution, at a General Meeting.

06. Stated capital is represented by number of shares in issue as follows.

	31.03.2021	31.03.2020
Issued and Fully Paid Ordinary Shares (Quoted)	124,195,533	124,195,533

07. Market Value of Shares

	31.03.2021	31.03.2020
	Rs.	Rs.
Highest Traded Price	9.10	8.80
Lowest Traded Price	5.50	5.50
Closing Price	5.60	5.50

08. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

09. Major 20 share holders as at 31st March 2021

NAME	No of Shares	(%)
1 MUTHOOT FINANCE LIMITED	90,558,778	72.92%
2 SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	7,692,693	6.19%
3 HATTON NATIONAL BANK PLC/SRI DHAMAN RAJENDRAM ARUDPRAGASAM	3,095,431	2.49%
4 J.B. COCOSHELL (PVT) LTD	2,259,032	1.82%
5 PEOPLE'S LEASING & FINANCE PLC/MR.W.K.R.JAYAKODY	1,501,280	1.21%
6 MR K.M.S.M. RAZEEK & MR K.S.M. RAJUBDEEN & MR S.M.R. MOHAMED	740,000	0.60%
7 MR N.S.R. SIVARUBAN & MRS S. ABYERAMI	731,726	0.59%
8 MR K.L.G. UDAYANANDA	729,000	0.59%
9 MR P.A.D.R.U. PUSHPAKUMARA	728,000	0.59%
10 HATTON NATIONAL BANK PLC/SUBRAMANIAM VASUDEVAN	718,835	0.58%
11 MERCHANT BANK OF SRI LANKA & FINANCE PLC/W.K.R. JAYAKODY	604,553	0.49%
12 MR C.W. GUNASEKARA	500,000	0.40%
13 SEYLAN BANK PLC/KARAGODA LOKU GAMAGE UDAYANANDA	495,792	0.40%
14 MR P.P. SUBASINGHE	392,623	0.32%
15 MRS M. ARUDPRAGASAM	303,562	0.24%
16 MR N.S.R. SIVARUBAN	291,518	0.23%
17 MERCHANT BANK OF SRI LANKA & FINANCE PLC 01	249,999	0.20%
18 MR R. UDALAGAMA	249,830	0.20%
19 MR T.S. SALIM	246,127	0.20%
20 SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	229,389	0.18%
	112,318,168	90.44%
Othres	11,877,365	9.56%
Total	124,195,533	100%

Notes	No of Shareholders	% of Shareholding
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10. Shares held by public as at 31st March 2021

2,221 27.084%

11. Directors Share Holding

Name	No. of Shares 31.03.2021	%
Mr V A Prasanth		
Mr. R.J.A. Gunawardena	-	-
Mr.R.A.T.P.Perera	-	-
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.K.G.K.Pillai		
Mr.R.A.B. Basnayake	-	-
Mr.J.P.D.R. Jayasekara	-	-
Mrs. D.P. Pieris (Ceased w.e.f 2nd January 2021)		

The fractional shares of 191 arising from the Consolidation of shares were issued jointly in the names of Mr. C Ramachandra and Mr. R J A Gunawardena

12. Utilization of right Issue Fund

Objective No	Objective as per Prospectus /Circular	Opening Date	Branch	Amount allocated as per Prospectus/Circular in LKR	Proposed date of utilization as per Prospectus/Cir	Amount allocated from Proceeds in LKR A	% of total proceeds	Amount utilized in LKR B	% utilization against allocation
1	Approved 10 branches	2018 November -19	Thalawakele	40,092,350.48	10.08.2019	40,092,350.48	10%	40,092,350.48	100%
		2018 November -19	Gampola	47,219,327.96	10.08.2019	47,219,327.96	12%	47,219,327.96	100%
		2019 January -16	Ragala	51,195,027.44	10.08.2019	51,195,027.44	13%	51,195,027.44	100%
		2018 November -24	Nawalapitiya	47,067,363.49	10.08.2019	47,067,363.49	12%	47,067,363.49	100%
		2018 December -21	Chunnakam	49,532,616.32	10.08.2019	49,532,616.32	12%	49,532,616.32	100%
		2019 February - 25	Puthukkudiyiruppu	34,700,967.45	10.08.2019	34,700,967.45	9%	34,700,967.45	100%
		2019 April -24	Kalmunai	37,463,912.37	10.08.2019	37,463,912.37	9%	37,463,912.37	100%
		2019 Decemebr -05	Mullativu	31,532,119.24	19.12.2019	31,532,119.24	8%	31,532,119.24	100%
		2020-December- 09	Matale	35,474,425.31	06.02.2020	35,474,425.31	9%	35,474,425.31	100%
		2020-January -03	Kegalle	28,265,003.94	03.07.2020	28,265,003.94	7%	28,265,003.94	100%
402,543,114.00					402,543,114.00	100%	402,543,114.00		

13. Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No 76, Park street colombo 02.

Telephone

011-7699000'

E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.lk/>

Board of Directors of the Company

Mr. V.A Prasanth
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Kuttikattu Rajappan Bijimon
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Company Secretary

P R Secretarial Services (Pvt) Ltd
59 Gregory Road,
Colombo 07.

Lawyers of the Company

Gunawardane & Ranasighe Associates
1056 Mardana Road,
Colombo 08.

Company Auditors - External

BDO Partners
65/2, Sir Chiththapalam A Gardiner Mawatha,
Colombo 02.

Bankers of the Company :

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Bank PLC
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
People's Bank
Sampath Bank PLC
National Development Bank PLC
Seylan Bank PLC
Indian Bank
Nation Trust Bank
Cargills Bank

Audit Committee

Mr.Thusitha Perera
Mr. Danasiri Rupakumara Jayasekara
Mr. V.A Prasanth
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr. V.A Prasanth
Mr.Thusitha Perera
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Roshan De Silva Gunasekara (COO)
Mr. Danasiri Rupakumara Jayasekara
Mr.Kuttikattu Rajappan Bijimon

Remuneration Committee

Mr. V.A Prasanth
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee

Mr.Danasiri Rupakumara Jayasekara
Mr.Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake

IT committee

Mr. V.A Prasanth
Mr.Rajitha Ananda Bandara Basnayake
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Danasiri Rupakumara Jayasekara

Credit Committee

Mr. V.A Prasanth
Mr.Danasiri Rupakumara Jayasekara
Mr.Rajiv James Abeywicrema Gunawardena
Mr.Kuttikattu Rajappan Bijimon